

Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

6 decades of Moore's Law — 60 years

Compute horsepower to process exaflops of data

4 decades of the Internet — 40 years

Trillions of tokens of training data (accelerated by COVID)

**2 decades of Mobile &
Cloud — 20 years**

A supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

in startup revenue alone

A milestone that took SaaS years, not months, to reach.

ChatGPT

Fastest-growing application in history.
Strong product-market fit among
students and developers.

Midjourney

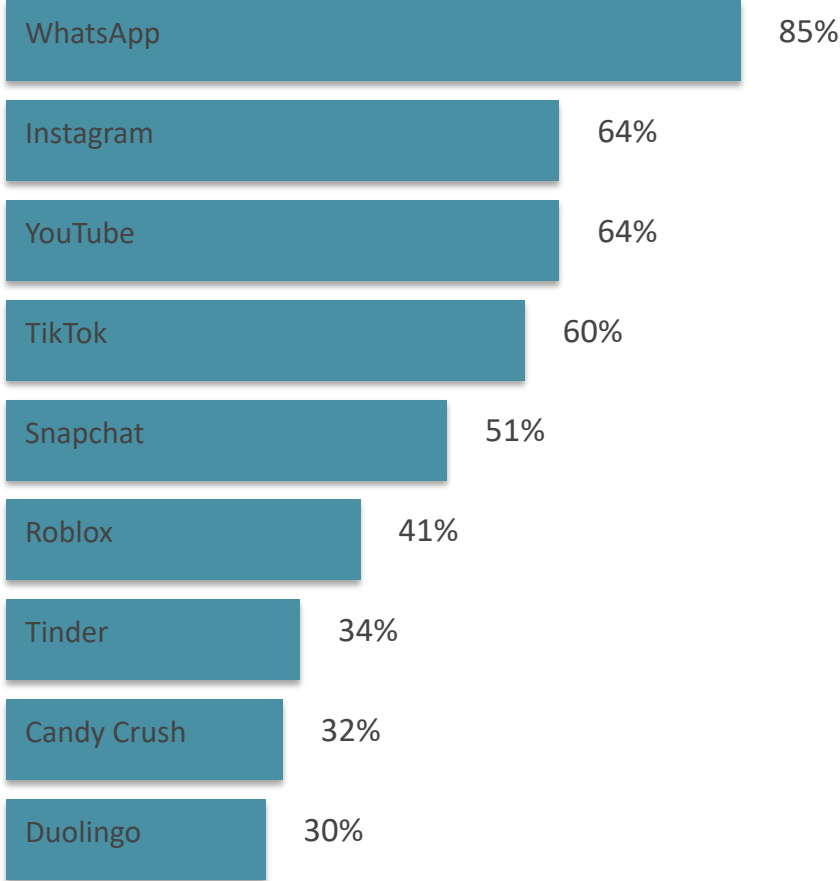
Hundreds of millions in revenue with
a team of just 11 people.

However, these successes don't change the reality that many AI companies lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

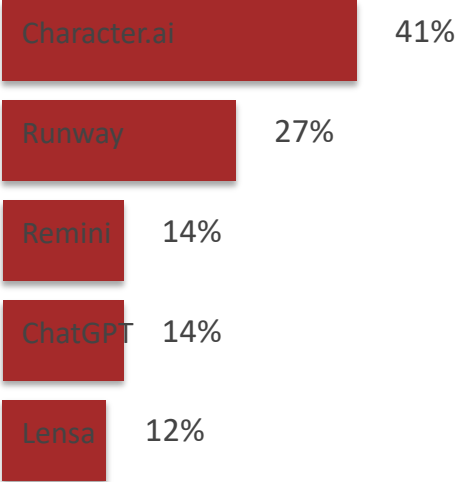
Incumbents

Median: 51%



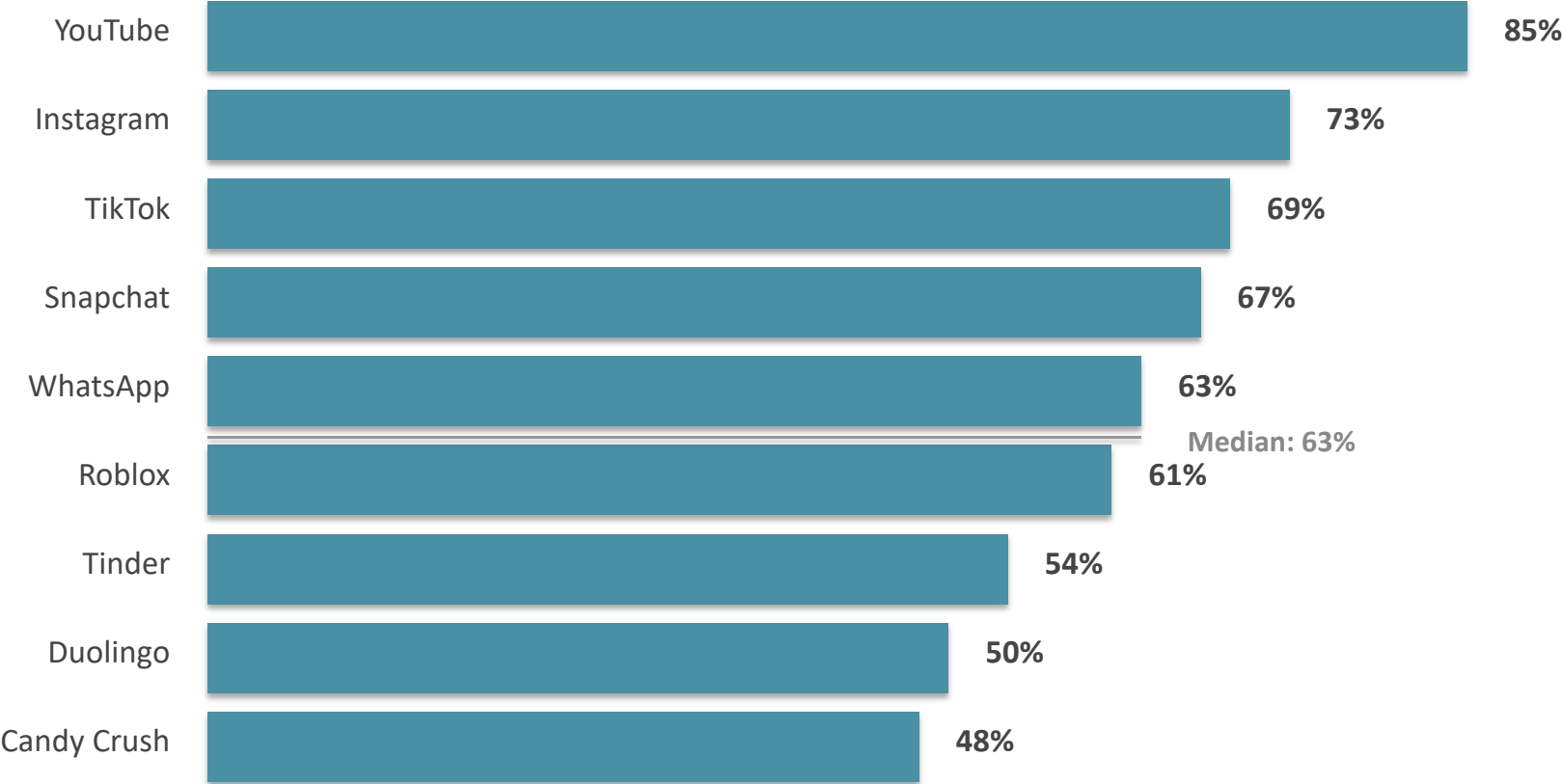
AI-First Companies

Median: 14%



A 3.6× retention disadvantage for AI-first apps — the critical gap Act 2 must close.

YouTube Leads Incumbents at 85% Monthly Active Usage



The engagement bar AI apps must clear is even higher on a monthly basis.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation model = the entire solution
- Novelty apps and lightweight demos
- Thin wrappers around base models
- Poor user retention
- Cool technology seeking a problem

Act 2: Customer-Back

- Foundation model = a piece of the solution
- New editing interfaces for stickier workflows
- Multi-modal by nature
- End-to-end problem solving
- Human need drives the product

Act 2 Exemplars

Harvey — Custom LLMs for elite law firms
companionship and entertainment

| Glean — Crawling and indexing workspaces for relevant enterprise AI
Ava — Digital companion

| Character — Digital

Market Map Reorganized by Use Case, Not Model Modality



Reflecting the evolution from technology hammer to actual value delivery — and the increasingly multi-modal nature of applications.

This reorganization mirrors the broader Act 1 → Act 2 transition: customer problems, not model types, define the market structure.

Key Takeaways: What Separates Winners in Act Two

1. Retention is the critical challenge

AI-first apps sit at 14% median retention vs. 51% for incumbents — a 3.6× gap that must be closed through product depth.

2. Foundation models should be a component, not the whole product

Act 2 winners use models as building blocks within comprehensive, workflow-integrated solutions.

3. Multi-modal, end-to-end solutions will win

New editing interfaces and multi-modal design make workflows stickier and outputs materially better.

4. The \$1B+ revenue milestone proves real demand exists

Despite hype-cycle skepticism, generative AI has achieved commercial traction faster than SaaS ever did.

5. Solve end-to-end human problems to define Act 2

Companies like Harvey, Glean, Character, and Ava show that customer-back problem solving creates durable value.